Coromandel Commercial Bank Ltd

Process Walkthrough Note - Credit Sanction (Control CR-07)

Walkthrough date	12-Oct-2026
Performed by	Priya Natarajan, Manager - Internal Audit
Process representatives	S. Arvind, Head - Credit Policy Unit; N. Ramesh, Regional Credit Head - Chennai South
Sample traced	Sanction memo CCB-CHN-2026-0417 (Sri Kamakshi Textiles Pvt Ltd)

1. Process narrative (as explained by process owners)

1.1 The Relationship Manager (RM) meets the borrower, collects the application and KYC documents, and creates the proposal in CredFlow LOS. The proposal amount, facility type and any deviations are entered by the RM.

1.2 A Credit Analyst at the Regional Credit Hub prepares the Credit Appraisal Memo (CAM), including financial analysis, internal rating and details of existing facilities with the Bank, and uploads it to LOS.

1.3 LOS routes the proposal to the sanctioning authority based on the proposal amount, per the role limits configured in the Role Limit Master. Proposals up to INR 0.50 crore go to the Branch Manager; above INR 0.50 crore up to INR 5 crore to the Regional Credit Head; above INR 5 crore to the Zonal Credit Committee, and so on.

1.4 The sanctioning authority reviews the CAM and approves, returns or rejects the proposal in LOS. The approver's user ID, date and time are recorded in the approval trail. The system does not allow the RM who originated the proposal to approve it.

1.5 For ZCC proposals, the committee meets weekly (Thursdays). Minutes are drafted by the zonal credit secretariat, signed by members and uploaded to LOS.

1.6 Once approved, the Credit Processing Cell (CPC) issues the sanction letter. Disbursement is enabled in LOS only after the sanction status is Approved and the CPC marks documentation complete.

1.7 Any sanction later identified as beyond authority is reported to the CCO and placed before the HOCC for ratification. Process owners stated that no such cases arose in FY 2025-26.

2. Other points noted during discussion

2.1 The Zonal Credit Head role was given approval rights in LOS in August 2025 to avoid delays for urgent proposals when the ZCC cannot convene. In such cases the Zonal Credit Head approves in LOS and the ZCC minutes are uploaded at the next meeting.

2.2 The Credit Policy Unit confirmed that Credit Policy v4.2 is the policy currently in force.

2.3 Role limits in LOS are changed by IT Security only on an email instruction from the Credit Policy Unit. The instruction for the August 2025 change was not readily available during the walkthrough.

Prepared by: Priya Natarajan (IA) | Agreed by process owner: S. Arvind (CPU) on 13-Oct-2026